

**BRITAM INVESTOR BRIEFING
PRESENTATION
FULL YEAR 2013
GROUP FINANCIAL RESULTS**

Overview



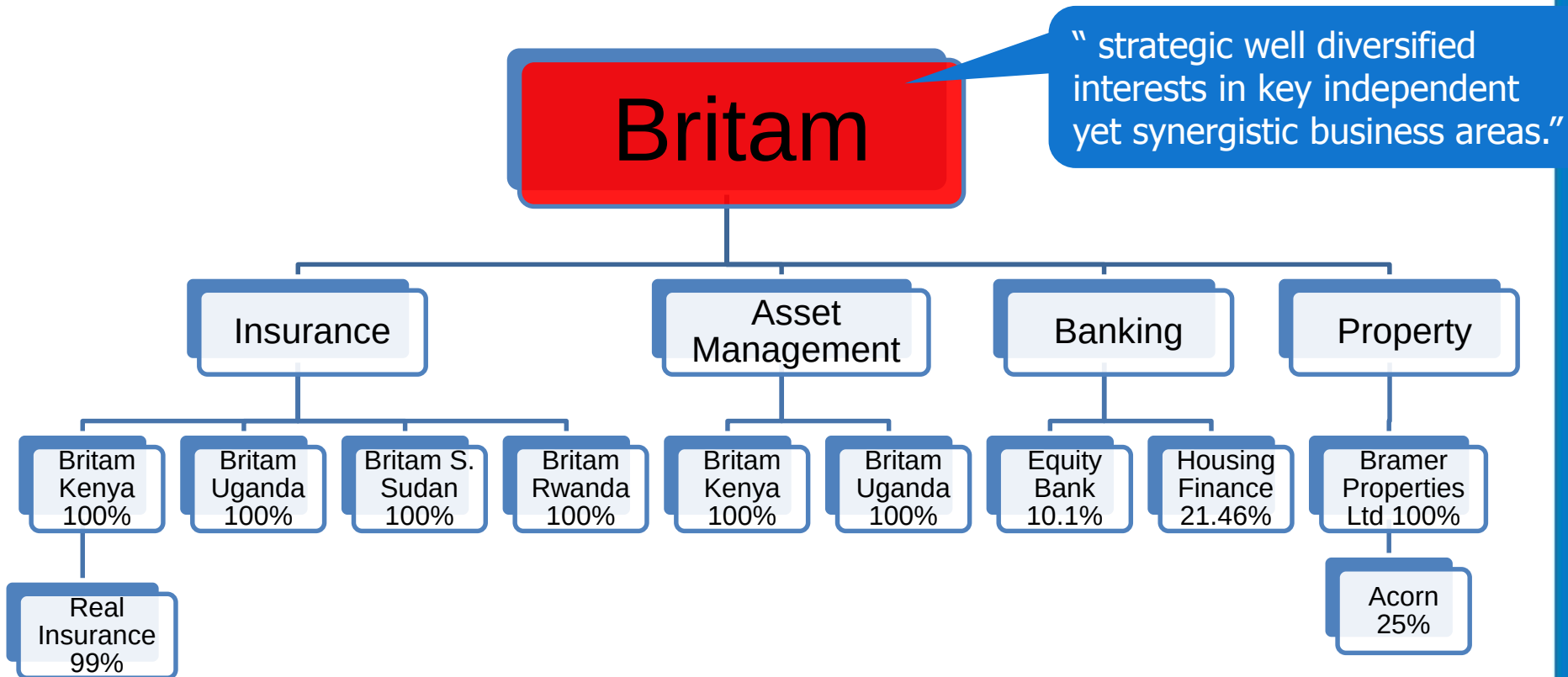
“ We are the leading **diversified** financial services group with primary interests in the **Insurance, Asset Management, Banking** and **Property** sectors”

Our Brand, Vision, Mission and Values

“ the cornerstone
of our existence”



Our Group Structure



Our Journey

“ 49 years of continuous growth and innovation, and we are geared for many more”

1965-1995

- 1965 British-American Insurance Company Ltd Bahamas as a branch in Kenya
- 1979 British-American Insurance Company (Kenya) Ltd
- 1995 British-American Investments Company (Kenya) Ltd

2004-2010

- 2004 Holding Company, Asset management & investment in Equity Bank
- 2007 investment in Housing Finance
- 2010 Britam Insurance Company (Uganda)

2011-2014...

- 2011 Listing on the NSE
- 2012 Britam Insurance Company (South Sudan)
- 2013 Britam Insurance Company (Rwanda)
- Strategic partnership with Acorn Group
- 2014 Acquisition of Real Insurance

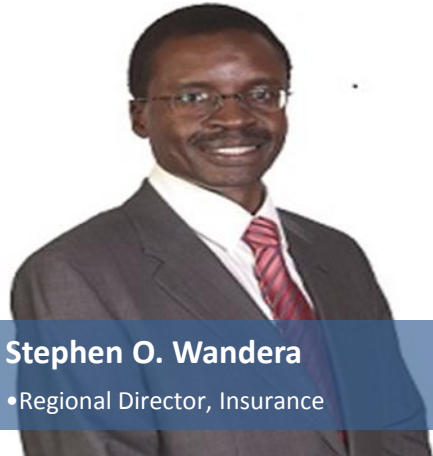
Strategy Focus areas



Our Footprint



Our People



Stephen O. Wandera

• Regional Director, Insurance



Benson I. Wairegi EBS

• Group Managing Director



Edwin H. Dande

• Managing Director, Asset Management



John K. Githinji

• Chief Executive Officer, Britam South Sudan



Reuben Kibiru

• Chief Executive Officer, Britam Rwanda

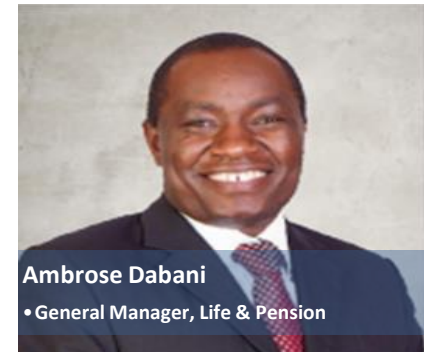
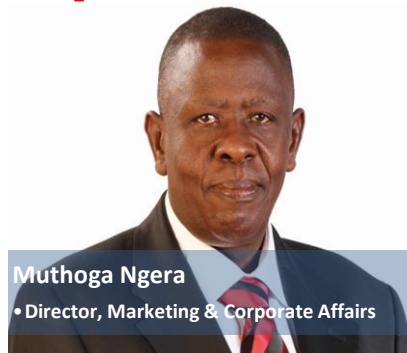


Allan Mafabi

• Chief Executive Officer, Britam Uganda

“experienced, dynamic and cohesive leadership team and staff”

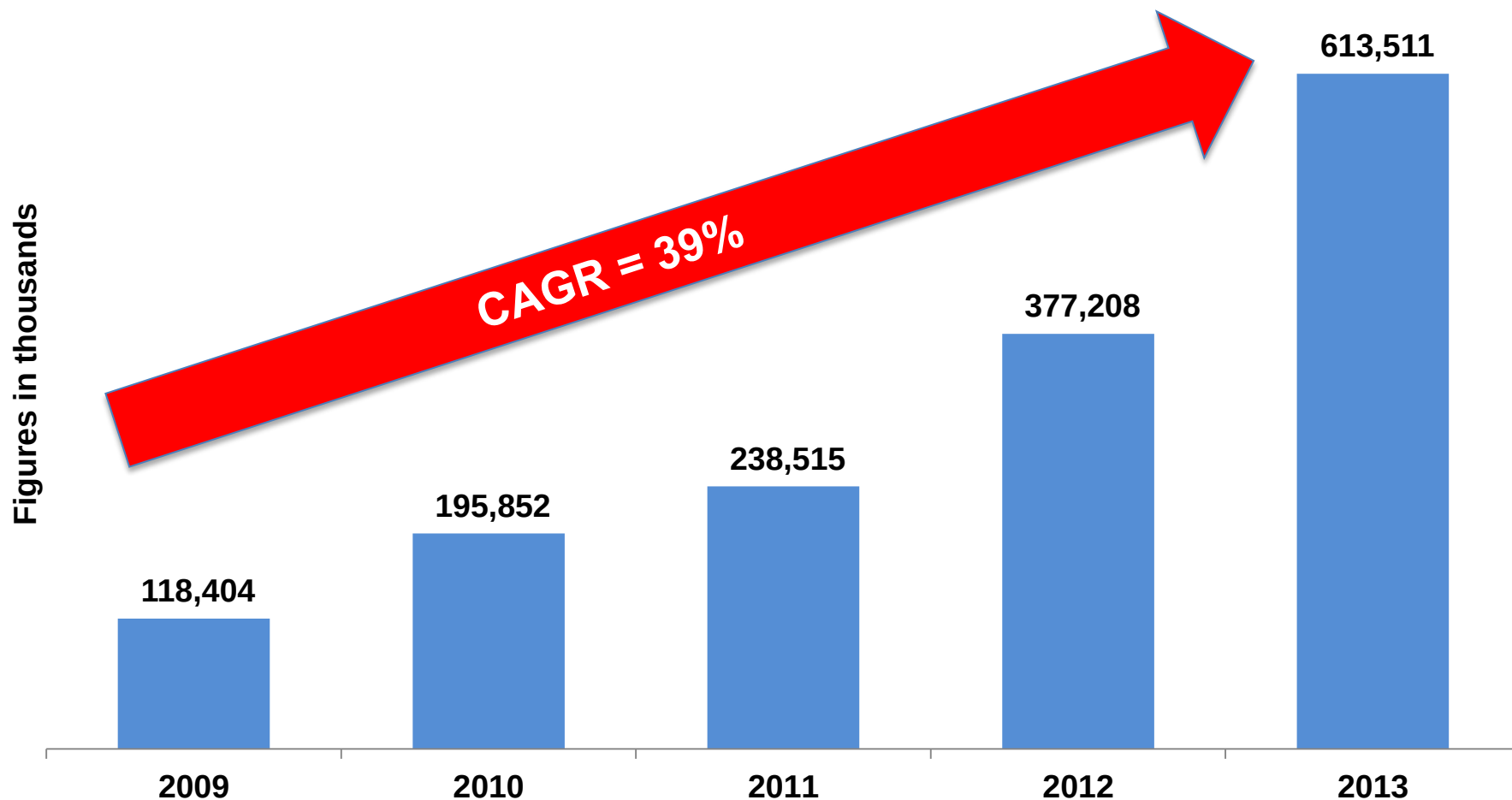
Corporate Leadership



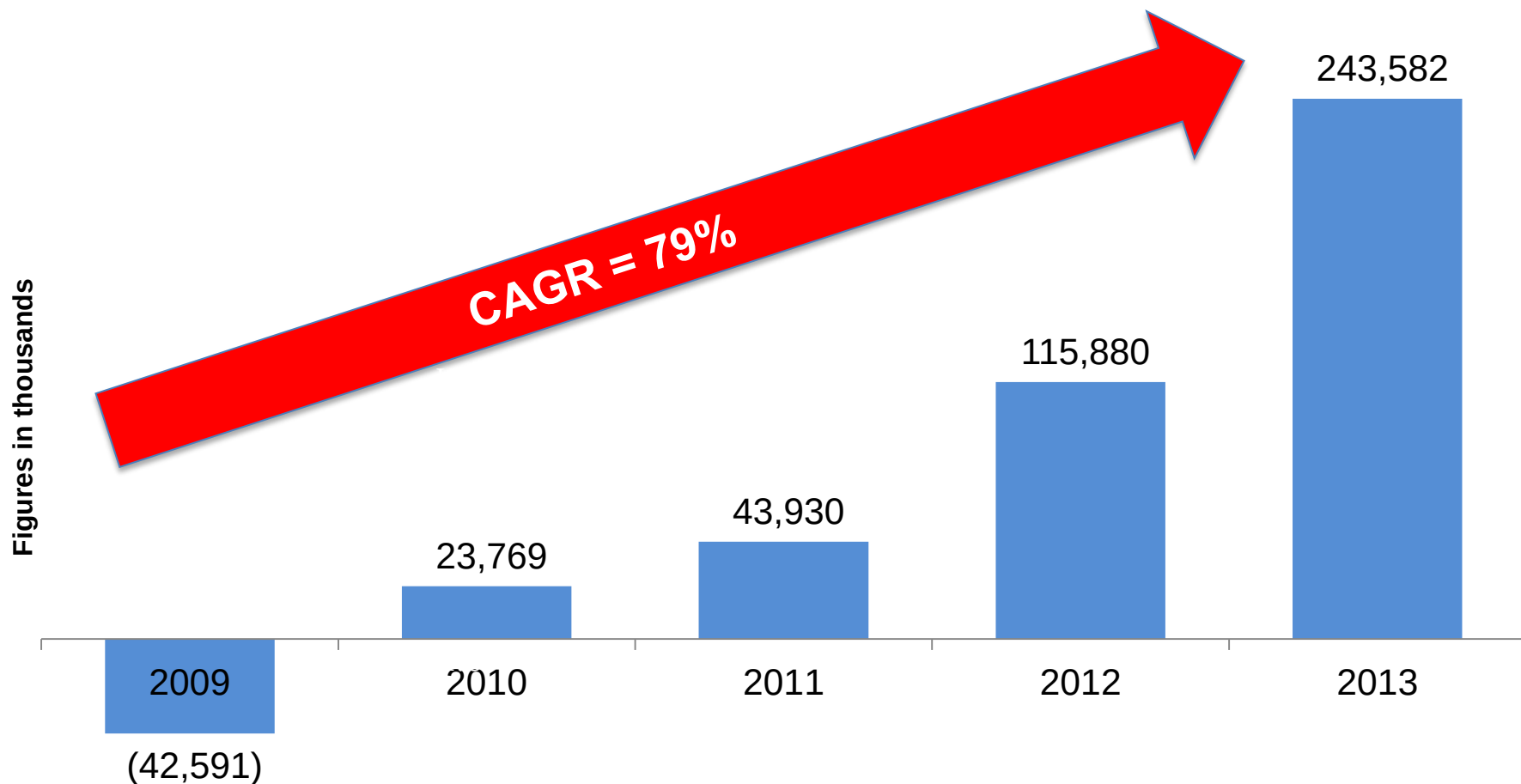
“experienced, dynamic and cohesive leadership team and staff”

Asset Management business performance

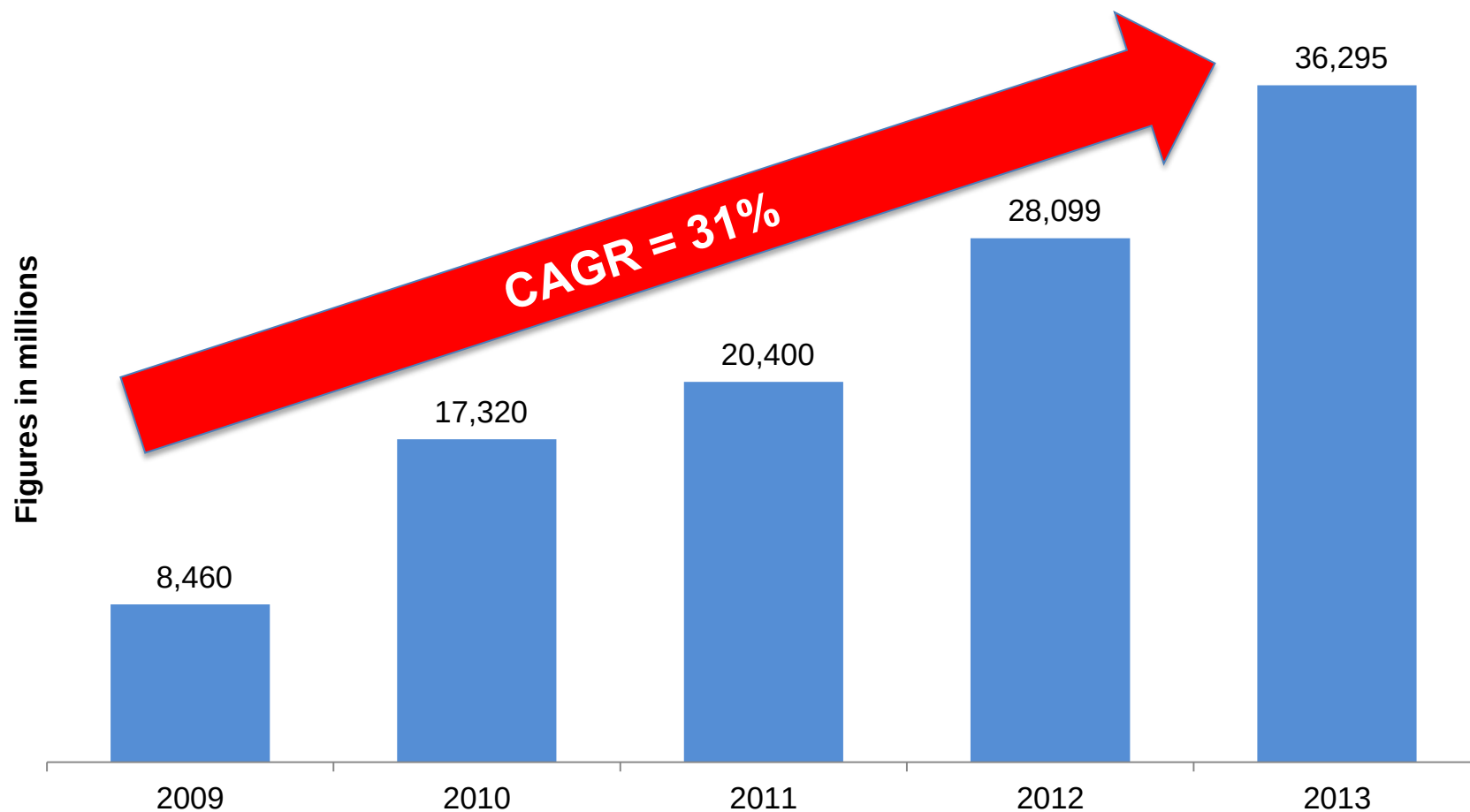
Asset Management Revenues Grew by 62% from 2012



Asset Management Profitability grew by 110%



Steady AUM Growth - Currently Managing 38.5b



Outlook - Key Drivers

Our focus is to create products that take advantage of these attractive key themes

Growing Regional Economies

- Strong economic fundamentals in regional economies – Eastern Africa region and its neighbors expected to grow GDP at approximately 6 to 7% over the next 5 years
- Growing middle-class / consumer demand due to demographics profile
- Improving business and political climate
- Total population of approximately over 300 million across Kenya, Uganda, Tanzania, South Sudan, Rwanda, Burundi, Malawi, Mozambique and Ethiopia

Kenya as a Regional Hub

- Nairobi as a regional hub – international companies setting up regional HQs in Nairobi
- Relatively developed financial markets
- Highly educated population

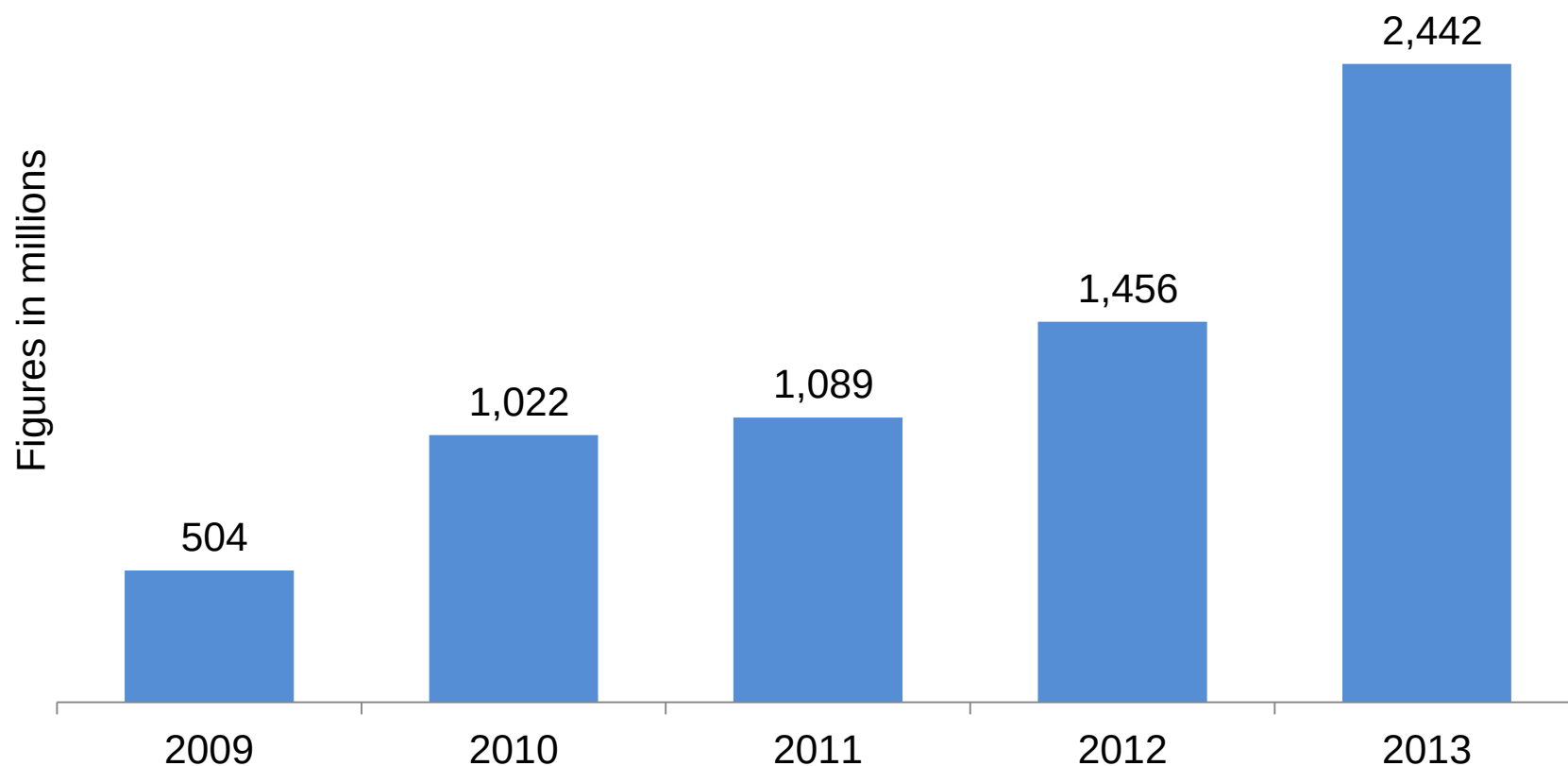
Foreign Investors Seeking Exposure to Frontier Markets

- Currently no investment manager is focused on managing foreign investment flows into the region, except for a few foreign based PE funds
- No investment manager focused on creating East African exposure to foreign investors

Our core focus is delivering East African investment exposure to our clients

Insurance business performance

Insurance Business profitability grew by 68%



Insurance growth drivers

- Micro insurance line of business grew by 41% from Shs 132m to Shs 187m
- General Insurance conventional line of business grew by 34% from Shs 1.1b to Shs 1,4b
- Ordinary life revenues grew by 33% from Shs 2.8b to Shs3.8b
- Credit life grew by 29% from Shs 605m to Shs 782m
- Britam Uganda revenues grew by 105%
- South Sudan revenues grew from Shs 1m in 2012 to 114m in 2013

Embedded Value

Long-Term Business	2013	2012	Increase
	KShs 000s	KShs 000s	(%)
*Adjusted Net worth :	5,904,972	4,731,522	25%
Present Value of Inforce :	3,542,781	2,420,345	46%
Cost of Required Capital :	(285,280)	(223,870)	27%
Cost of Restriction on Surplus :	(1,865,566)	(1,490,744)	25%
*Embedded Value :	7,296,907	5,437,254	34%

*after transfer from Life Fund of KShs 700million

Return on Embedded Value at 47.1% in 2013 (30.5% in 2012)

Analysis of EV Earnings	Amount in KShs 000s	% of Total Earnings
Expected Return on In-force Business	278,180	11%
Expected Return on ANW	578,927	23%
Value of New Business	510,997	20%
Operating Experience Variances	380,900	15%
Assumption & methodology changes	118,523	5%
Economic Experience Variances	951,069	37%
Exceptional Items	(258,943)	-10%
Total EV Earnings :	2,559,653	100%

Outlook – Key Strategy Drivers

KENYA

- Channel management in Market Development/ Penetration Strategy
 - Brokers
 - Independent agents
 - Franchises
 - Financial
- New innovative products/channel
 - Micro-insurance-Linda Jamii
- Product Development- new products e.g. Education

UGANDA

- Market Penetration

SOUTH SUDAN

- Market development/ Penetration

RWANDA

- Market development/ Penetration

REAL INSURANCE

- Tanzania
- Malawi
- Mozambique

IT

- IT Based products and operational excellence

Group Financial Performance

Group Performance

Revenues grew by 31%,
Profit before Tax by 12%

Shs' million	2013	2012	% change
Gross Revenue	9,461	7,226	31%
Earned Income	8,365	6,334	32%
Investment income	6,348	5,049	26%
Other Income	418	361	16%
Total Income	15,130	11,743	29%
Net Claims payable	(4,827)	(3,669)	32%
Interest/unit gain	(2,205)	(1,609)	37%
Commission payable	(1,873)	(1,476)	27%
Operating expenses	(3,211)	(2,287)	40%
Associate's Profit share	182	146	24%
Profit before tax	3,196	2,849	12%
Profit after tax	2,654	2,519	5%
Comp. Income	4,205	4,185	-

Group Performance

– Revenue growth of 31%

- **27% Growth in Life business revenue (53% of total revenue)**

(From Shs 3,946 million in 2012 to Shs 5,031 million in 2013)

- **31% Growth in general business revenue (40% of total revenue)**

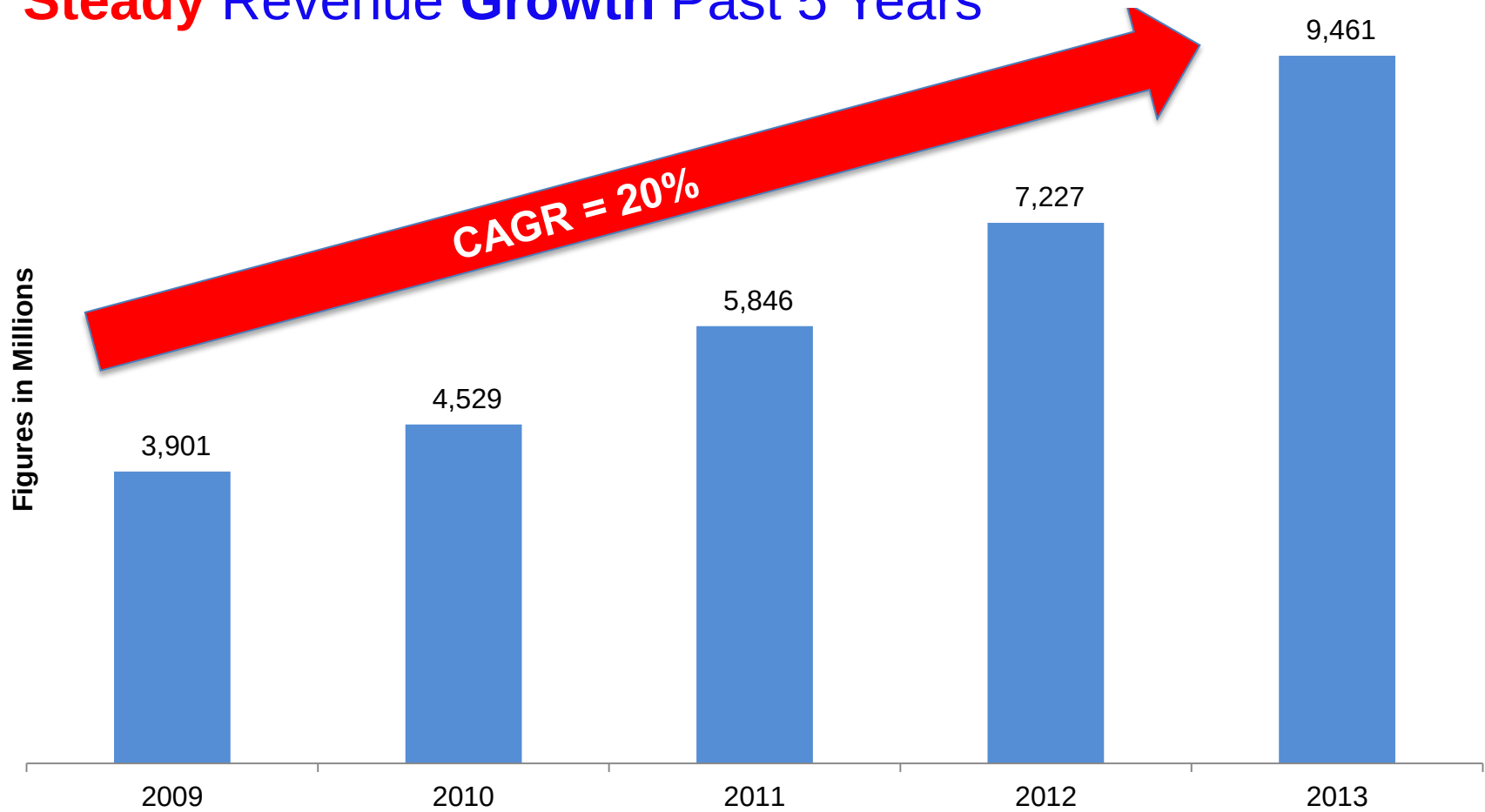
(From Shs 2,904 million in 2012 to Shs 3,817 million in 2013.)

- **62% Growth in Asset management revenue (7% of revenue)**

(From Shs 377 million in 2012 to Shs 614 million in 2013)

Group Performance

Steady Revenue **Growth** Past 5 Years



Group Performance

- We lay emphasis on **quality business** and **diligent underwriting** to drive profitability
 - Total insurance PBT of Shs 2.44 billion (2012 :Shs 1.46 billion) + **Return on EV 46%**
 - Asset management PBT of Shs 244 million (2012 : Shs 116 million) **110% increment.**
- **Expense management** with major expense directed towards growth initiatives (Region, IT, M&A, local expansion)
- **Return on Equity** based on comprehensive income is **34%**

Group Balance Sheet

Shs' million	2013	2012	% change
Share capital/share premium	3,353	3,353	-
Other reserves	9,573	5,746	67
Retained earnings	3,536	2,900	22
Proposed Dividends	473	473	-
Shareholders' Funds	16,935	12,472	36
Total assets	46,903	35,820	31
Total liabilities	(29,968)	(23,347)	28
Net Assets	16,935	12,472	36

Strong balance with **36%**
increase in net assets

Group Performance

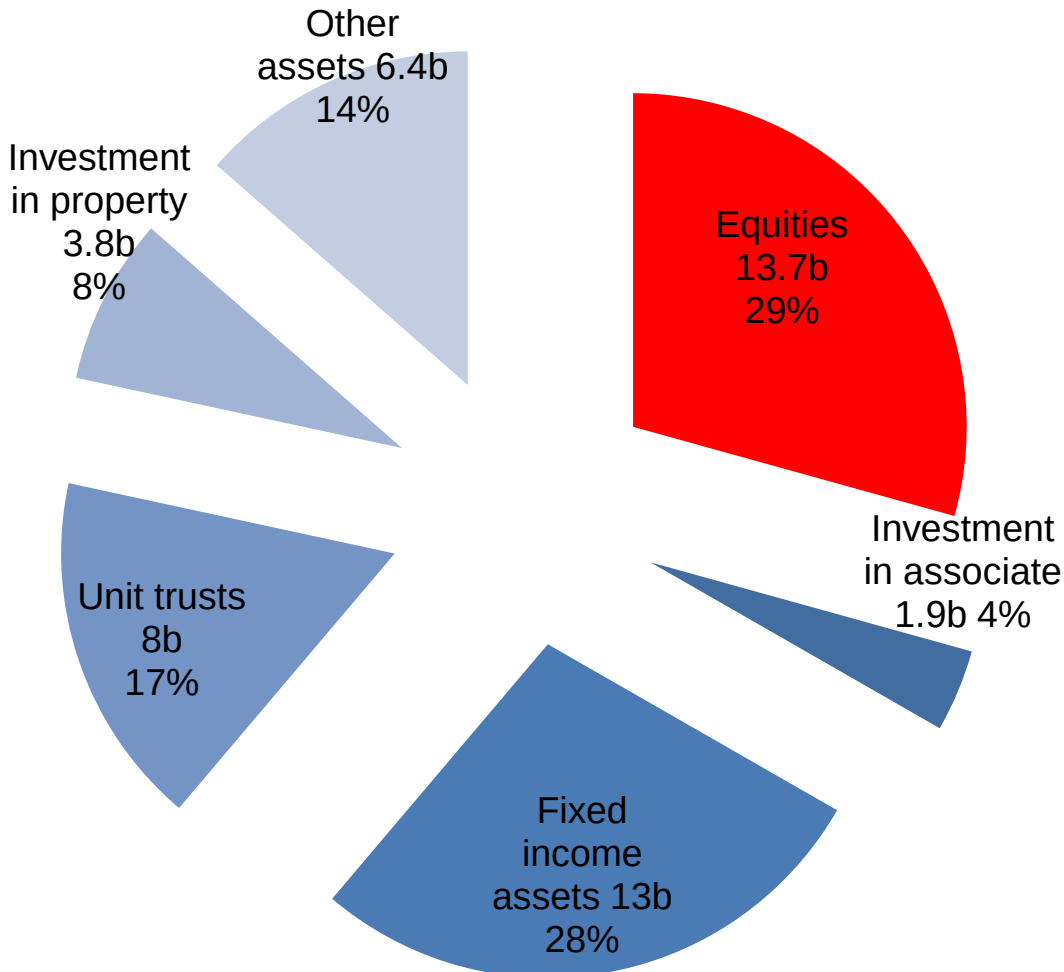
“ Our Strong balance sheet and claims paying ability allows us to maintain our brand integrity and high customer service levels, whilst allowing us to competitively respond to market opportunities.”

- Total assets of Shs 46.9 billion (2012 : Shs 35.8 billion)
- Assets under management of Shs 36.3 billion (2012 : Shs 28.1 billion)
- Net benefits to policyholders in the period of Shs 4.8 billion (2012: Shs 3.7 billion)
- Investments in quality assets

Steady Total Asset Growth Last 5 Years Growth of 31% last one year



We continue to invest towards a Diversified and Optimal Asset Portfolio



“Ensuring a high growth yet sustainable and hedged portfolio in key growth areas.”

- Increase our property portfolio to between 20% & 30% (8% in 2013 and 4% in 2012)
- Reduce reliance on equities <30% (29% in 2013 and 32% in 2012)

WRAP UP

Share price growth

Britam Share Price Performance





“ As we **grow our business**, we continue to engage communities in line with our corporate conviction to **transform lives**.

Our Community Initiatives

Health

- Ksh 435,000 Kakamega cleft palate free medical camp
- Gatanga Medical camp sponsorship



Education

- Computers to Students from Kigumo Girls School
- Ksh 100,000 towards the Starehe Girls Centre Endowment Fund
- Kshs.150, 000 in support of Edumed Trust

Environmental

Rhino Ark Charitable Trust



Humanitarian

Kenya Red Cross sponsorship

Our Accolades in 2013



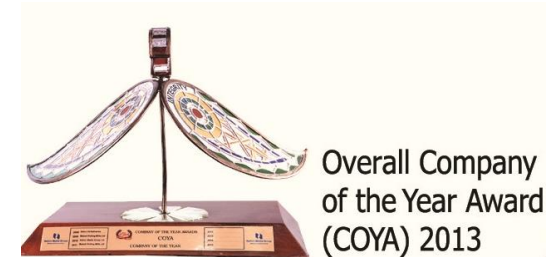
- CEO Of the Year 2013 -COYA



- Best Life Insurance Company in Kenya 2013- World Finance



- Fund manager of the year 2013
- Unit trust of the year



THANK YOU